Hedging Under Pressure

A Network-Portfolio Theory of ASEAN Strategic Adjustment to U.S.-China Competition, 2019–2025

Samuele Moio

Summary

This study reconceptualises hedging — the strategy by which small and middle powers cultivate simultaneous ties to competing great powers rather than committing to either — as a process of network-portfolio construction, in which states build redundant relational pathways to multiple power centers while allocating relationship "weight" to balance expected returns against exposure to coercion, abandonment, and policy uncertainty. Drawing on resilience engineering's logic of network redundancy and finance's logic of portfolio diversification, the study traces how this strategy evolved across five temporal phases since 1989 and disaggregates it into five constituent components — economic pragmatism, binding engagement, limited bandwagoning, dominance denial, and indirect balancing — each carrying a distinct risk-return profile. It then develops a configurational synthesis explaining why ASEAN states facing structurally comparable pressure from intensifying U.S.-China rivalry have produced three discrete outcome types rather than uniform convergence: balanced engagement (Singapore), asymmetric security tilt (Vietnam), and volatile oscillation (the Philippines), with Malaysia, Indonesia, and Thailand occupying intermediate configurations. The analysis repositions geographic proximity from a deterministic primary cause to a moderating variable whose effects on hedging outcomes are conditioned by institutional capacity and leadership characteristics, drawing on six case studies spanning the 2019–2025 period of accelerating great-power decoupling. The study concludes that hedging's viability rests on the durability of three enabling conditions — the absence of unambiguous existential threat, the absence of ideological bloc division, and the absence of unrestrained great-power rivalry — and that contemporary pressures on supply chains, technology standards, and the Taiwan Strait are testing those conditions more severely than at any point in the post-Cold War period.

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Introduction

For three decades after the end of the Cold War, Southeast Asian states navigated rising Chinese power and persistent American presence without being forced to choose definitively between them. This posture — commonly labeled ”hedging” — allowed states from Singapore to Vietnam to extract economic benefit from China's growth while preserving security ties to the United States, converting what might have been a zero-sum structural dilemma into a workable, if precarious, equilibrium. That equilibrium is now under strain. Trade-war escalation, export-control expansion, technology-standard bifurcation, and recurring Taiwan Strait tension have together compressed the space within which dual engagement remains feasible, and ASEAN member states have responded not with a single collective adjustment but with conspicuously different strategies despite facing a broadly similar structural predicament.

This divergence is the puzzle this study addresses. Existing hedging scholarship, much of it organised around either pure structural variables (relative capability, geographic threat exposure) or pure agency-centered accounts (leader preference, domestic coalition), struggles to explain why states occupying similar structural positions — Singapore and the Philippines, both maritime states with no land border with China — produce such different outcomes, while states in dissimilar positions sometimes converge. The explanation developed here is configurational: hedging outcomes are produced not by any single variable acting alone but by specific combinations of geographic proximity, threat intensity, institutional capacity, and leadership type, mediated by decades of ASEAN normative and organisational development.

The study proceeds in four movements. *The first* develops the network-portfolio theoretical architecture, treating hedging as a temporally evolving, multi-component strategy rather than a static label, and disaggregates it into five components whose return-risk characteristics explain why states deploy them selectively rather than uniformly. *The second* specifies the configurational methodology used to classify and explain three discrete outcome types, repositioning geography as a moderating rather than determining variable. *The third* applies this framework across six cases — Singapore, Malaysia, Indonesia, Vietnam, the Philippines, and Thailand — selected to maximise variation across the framework's principal causal variables while holding regional and historical context approximately constant. *The fourth* synthesises the cross-case evidence into a truth table of configurational pathways, derives the framework's theoretical contributions and policy implications, and forecasts hedging sustainability under three stress scenarios: a Taiwan contingency, accelerating economic decoupling, and domestic political instability.

The period under analysis, 2019–2025, was chosen because it captures the most acute compression of hedging space since the framework's earlier developmental phases, while remaining close enough to the present to support forward-looking inference without collapsing into journalism. The analytical distance the historical frame requires is treated throughout as a methodological asset rather than a limitation: the patterns identified here are offered as conclusions about a defined and now-closed analytical period, with their bearing on the unfolding present addressed separately, in the recontextualisation discussion appended at the end of this study.

The Theoretical Framework: Hedging as Network-Portfolio Construction

Hedging as Dynamic Network-Portfolio Construction

Strategic hedging is best understood as a form of deliberate network-portfolio construction. Sovereign actors simultaneously build redundant relational pathways to multiple great-power nodes while allocating their relationship "weight" to maximise expected returns — economic benefit, security guarantees, diplomatic support — subject to minimising variance across policy uncertainty, coercion vulnerability, and abandonment risk, all within the constraints of limited resources and domestic political feasibility. The framework draws on two complementary logics: network redundancy, borrowed from resilience engineering, where survival depends on maintaining multiple pathways that prevent catastrophic isolation following the failure of any single node; and portfolio optimisation, adapted from financial theory, where diversification reduces unsystematic risk while preserving aggregate return.

› *Conceptual note — disaggregating "risk"*: Within this framework, international political risk is not a single quantity but disaggregates into three dimensions: security risk (territorial threats, military confrontation), economic risk (trade dependency, investment concentration), and political risk (regime legitimacy challenges, alliance unreliability). Risk also arrives through two distinct channels — deliberate actor behaviour (military aggression, political pressure) and impersonal structural forces (economic contraction, institutional decay, power-transition dynamics).[1] This three-by-two disaggregation underlies the measurement architecture used throughout the case studies below.

Small states experience this risk disproportionately. Limited internal resources both invite external exploitation and constrain a state's capacity to absorb or mitigate risk independently, which is why great-power network positioning becomes a pivotal strategic choice for sovereignty preservation. Great powers, in turn, occupy a fundamentally ambivalent role in this portfolio: they are simultaneously assets, capable of generating returns through material support for security or development needs, and liabilities, capable of converting material preponderance into spheres of influence, coercive extraction, or political domination. This dual character generates the foundational hedging dilemma — how to capture benefit streams while insulating against exploitation — whose resolution depends heavily on how clearly and how imminently a threat is perceived.[2]

Where a state perceives a specific power as an existential threat, it predictably concentrates its portfolio toward balancing: security cooperation and defensive alignment. Where a state perceives a power chiefly as a benefactor, it bandwagons, privileging short-term gain over diversification. Far more common, however, is an intermediate condition: no unambiguous imminent threat, but persistent uncertainty about which power will achieve future centrality. This uncertainty creates substantial option value in maintaining a diversified portfolio — precisely the condition that has characterised most of Southeast Asia since the Cold War's end, when the collapse of the socialist order removed a familiar bipolar architecture without replacing it with a clear successor.[3] Following the reduction of superpower military presence in the region, three open questions crystallised: whether the United States would draw down its regional force posture; whether rising Asian powers (China, Japan, India) would compete to fill any resulting vacuum; and whether ASEAN's own institutions would retain enough relevance to let small states continue exercising influence through collective agenda-setting.[4]

This uncertainty pushes small states away from both extremes of network positioning. Excessive proximity to one power risks autonomy loss, domestic legitimacy costs, and entrapment in that power's conflicts; excessive distance forecloses benefit-sharing and risks future hostility should the distanced power prevail, requiring costly, disadvantaged catch-up alignment later. States have learned this lesson the hard way — ASEAN elites drew it directly from the British withdrawal east of Suez and the Nixon Doctrine of the late 1960s, both of which underscored that great-power commitments are perpetually revisable.[5]

Taiwan presents the sharpest stress test of this logic. Any kinetic conflict over Taiwan would likely collapse the strategic ambiguity that currently sustains intermediate positioning, forcing a binary choice between tacit acceptance of Chinese reunification (severing ties to U.S. security nodes) or active participation in a resistance coalition (concentrating allocation toward Western alignment). Hedging behaviour, accordingly, depends on three enabling conditions holding simultaneously: the absence of an immediate existential threat; the absence of ideological cleavage forcing camp formation; and the absence of all-out great-power rivalry forcing zero-sum choices.[6] The presence of any one disabling factor pushes states toward concentrated balancing or bandwagoning.

Temporal Phasing: Five Stages of Hedging Evolution

Hedging is not a static configuration but a temporally phased strategy that evolves through five sequential stages as great-power competition intensity and regional institutional context shift.

Phase One (c. 1989–1997) was dominated by economic-pragmatism edges, as states cautiously explored Chinese market opportunities while keeping institutional and political ties sparse. This phase followed a now-familiar normalisation sequence: Singapore built informal commercial ties from the 1960s despite the absence of diplomatic recognition, followed by formal normalisation by the Philippines (1972), Malaysia (1974), Thailand (1974), and Indonesia (July 1985).[7] This broad sequencing is consistent with the pattern of Malaysia, the Philippines, and Thailand shifting from Cold War-era balancing toward rudimentary hedging in the mid-1970s, followed by Indonesia, Singapore, and Brunei in 1990–1991 as the Cold War ended.[8]

Phase Two (c. 1997–2008) added binding-engagement edges, as institutional mechanisms — the ASEAN Regional Forum (1994), ASEAN-China Senior Officials' Consultations (1995), and dialogue-partner status (1996) — reduced uncertainty through regularised interaction.[9] Malaysia pioneered bilateral binding through foreign-ministry consultations in April 1991, with Singapore following in 1995.[10]This bilateral opening is traceable to Chinese Foreign Minister Qian Qichen's July 1991 attendance, at Malaysia's invitation, at the ASEAN Ministerial Meeting in Kuala Lumpur, which marked the formal beginning of ASEAN–China dialogue relations, followed by China's elevation to full ASEAN dialogue-partner status in 1996.[11]

Phase Three (c. 2008–2019) brought component differentiation. Some states (Malaysia, Thailand) added limited-bandwagoning edges toward China as its rise generated partnership opportunities; others (Singapore, Vietnam) intensified indirect-balancing edges toward the United States as threat perceptions sharpened — producing the intra-ASEAN heterogeneity that defines the contemporary landscape. This differentiation is broadly consistent with the observation that, from 2009 onward, ASEAN states widened their hedging measures by deepening defence cooperation with a "rebalancing" United

States even as economic engagement with China continued to intensify, with the Philippines and Vietnam moving fastest and farthest on the security dimension.[12]

Phase Four (2019–2025), this study's focal period, saw hedging sustainability come under accumulating stress from trade-war escalation, technology decoupling across AI, quantum computing, biotechnology, and semiconductors — domains with stronger network effects and winner-take-all dynamics incompatible with balanced engagement — alongside pandemic-era geopolitical instrumentalisation and Taiwan Strait tension. Domestic leadership transitions across Malaysia, Thailand, Indonesia, and especially the Philippines (across the Aquino-Duterte-Marcos sequence) created uncertainty about strategic continuity, with institutional capacity proving the decisive moderator: Singapore's PAP and Vietnam's Communist Party structures sustained continuity through institutionalised decision-making, while the Philippines' weak institutionalisation permitted dramatic personalist reversals.

Phase Five (post-2025, projected) anticipates possible hedging breakdown as competition intensifies, alongside new hedging dimensions opened by climate and energy transition — green-technology cooperation functioning as a relatively neutral domain, even as critical-mineral supply chains (where China holds dominant position) create new leverage vulnerabilities.

> › *Conceptual note — why phase labeling matters*: The five-phase structure is not merely descriptive scaffolding; it establishes that today's hedging configurations are themselves the product of path-dependent accumulation rather than fresh calculations made in 2019. A state's Phase Four posture is constrained by the institutional and relational infrastructure built in Phases One through Three — a point that becomes important when comparing, for instance, Malaysia's gradual portfolio evolution against the Philippines' abrupt reversals.

Five Components: A Risk-Return Taxonomy of Hedging Instruments

Hedging decomposes into five constituent edge types, each carrying a characteristic return-risk profile. This five-part decomposition follows directly from the ”returns-maximising” and ”risk-contingency” options identified as the constituent, mutually counteracting components of weaker-state hedging behaviour.[13]

Economic pragmatism — pursuing trade and investment gain independent of political tension — functions as a high-return, moderate-risk asset: substantial benefit, offset by moderate coercion-vulnerability exposure through dependency. It is the longest-sustained, most uniformly embraced component, predating formal normalisation in several cases and generating path-dependent momentum toward deeper integration once initiated.[14] Its contemporary viability is under direct challenge from U.S.-China decoupling: Singapore and Malaysia, which derived substantial returns from simultaneous China-manufacturing and U.S.-services/technology integration, now confront exclusive-alignment pressure in critical domains where dual engagement is becoming structurally infeasible.

Binding engagement — building systematic communication channels (engagement) and institutionalising great-power participation in regularised diplomatic frameworks (binding) — functions as a moderate-return, low-risk asset, generating diplomatic influence and uncertainty reduction at limited coercion-exposure cost. Bilateral mechanisms (Malaysia-China consultations from 1991, Singapore's parallel mechanism from 1995) complement multilateral binding through ASEAN-driven frameworks, with ASEAN occupying a structural "hub" position that amplifies small-state influence beyond what bilateral capability alone would predict.[15] This binding function operates bilaterally and multilaterally at once, enabling ASEAN states to "socialise" and shape a rising China's behaviour through regularised consultation mechanisms rather than through either full alliance or isolation.[16]

Limited bandwagoning — political alignment edges toward a rising power, motivated by anticipated future gain — functions as a high-return, high-risk asset, vulnerable to policy reversal, coercion intensification, and abandonment should power-trajectory predictions disappoint. It differs from pure bandwagoning along three dimensions: it remains politically rather than militarily concentrated; it tolerates simultaneous engagement with rival powers rather than requiring zero-sum exclusivity; and it preserves autonomy rather than accepting hierarchical subordination — consistent with the view that limited bandwagoning seeks to maximise political benefits through selective deference or selective foreign-policy collaboration without accepting a subordinate position vis-à-vis the rising power.[17] Malaysia and Thailand have embraced this component (through deference on issues like Taiwan and One China policy and active coordination on East Asian regional architecture),[18] while Singapore and Indonesia have largely rejected it — Indonesia from rival-perception logic, Singapore from acute autonomy-preservation concern.

Dominance denial — diversifying network edges across multiple great powers to prevent any single power achieving monopoly influence — functions as a low-return insurance asset: minimal direct benefit, but crucial tail-risk protection against hegemonic consolidation. Unlike pure balancing, it requires no identification of a specific adversary and operates at the political rather than military level.[19] ASEAN's deliberate incorporation of the United States, Japan, India, and Australia as participating nodes in the ASEAN

Regional Forum and East Asia Summit exemplifies this logic, preventing bilateral China-ASEAN dynamics from consolidating into asymmetric dependence[20] — as when Indonesia and Singapore, concerned that a China-hosted East Asia Summit might consolidate Beijing's regional dominance, joined with Japan to secure the inclusion of India, Australia, and New Zealand as counterweights, expanding the forum to sixteen members.[21]

Indirect balancing — military preparation against diffuse rather than specific threats, through external defence cooperation and indigenous capability upgrading — functions as a negative short-term-return, tail-risk-mitigation asset: immediate cost with no direct benefit, offsetting catastrophic loss potential. No ASEAN state currently shows military preparation specifically targeting China at a pace matching China's own modernisation, suggesting current postures remain indirect rather than direct balancing.[22] Singapore's reliance on U.S. facility access and defence-technology cooperation illustrates the category, though — notably — recent Singapore-U.S. tie strengthening owes as much to post-9/11 counterterrorism cooperation as to China-specific calculation.[23] This indirect character is precisely what distinguishes expanding defence cooperation with the United States from an outright balancing strategy: ASEAN states, including Vietnam and Singapore, have taken care to publicly emphasise that their deepening defence partnerships with Washington are not directed against any third country, preserving the returns-maximising side of the portfolio even while widening military-contingency measures.[24]

Together these five components form a two-pronged architecture: return-maximising edges (economic pragmatism, binding engagement, limited bandwagoning) extract maximum benefit during favourable periods, while risk-contingency edges (dominance denial, indirect balancing) minimise loss should conditions deteriorate.[25] Genuine hedging requires both simultaneously; pursuing either alone — pure engagement without contingency preparation, or pure balancing without engagement — fails to qualify as hedging at all.[26] States accept the internal tension this creates (China economic dependence potentially undermining the credibility of U.S. security cooperation, for instance) because the option value of preserved flexibility under uncertainty exceeds the efficiency cost of a partially contradictory portfolio.

Geographic Proximity: From Determinism to Moderation

A central theoretical move of this study is repositioning geographic proximity from a deterministic primary cause of hedging outcomes to a moderating variable whose effects depend on institutional capacity and leadership characteristics. Geography establishes baseline strategic opportunity structures; ASEAN institutional development reduces bilateral coercion vulnerability and transmits diplomatic repertoires; individual leaders then select among available options based on preferences shaped by background, domestic coalition requirements, and bureaucratic constraint.

› *Conceptual note — the tributary system as structural analogy*: The premodern East Asian tributary order — in which peripheral states rendered symbolic deference (ceremonial tribute, calendar adoption) to the Chinese court in exchange for substantive autonomy and trading rights — is invoked here not as cultural essentialism but as a structural mechanism whose deference-autonomy logic persists across regime-type transformations. China's historically "solid center" geography generated defensive strategic orientations through escalating logistical costs of peripheral control, producing relationships that required ongoing management rather than definitive resolution.[27] Contemporary "strategic partnership" proliferation — symbolic status recognition without subordination admission — is this logic's modern diplomatic equivalent.[28] Vietnam's 2023 Comprehensive Strategic Partnership upgrades with both Washington and Beijing exemplify it directly: each power receives symbolic elevation while Vietnam preserves substantive decision-making autonomy across security domains.[29]

Geography's effects operate through three distinct causal mechanisms rather than uniformly: security vulnerability asymmetry (land-border states face different invasion-corridor calculus than maritime states); economic interdependence pathway differentiation (land-corridor connectivity generates higher switching costs than maritime trade relationships); and strategic culture formation divergence (geographic position shapes elite cognitive frameworks over generations, not merely contemporary calculation). Singapore and the Philippines, both maritime, demonstrate persistent moderating effects — diversified security partnerships without existential contradiction — while mainland-contiguous Vietnam must calibrate domain-specific asymmetries more carefully. Yet geography alone is insufficient: the Philippines' volatile oscillation despite maritime positioning, driven by weak institutions and presidential-system authority concentration, and Singapore's consistency across three leadership generations, sustained by institutionalised civil-service recruitment and diplomatic training, together demonstrate that institutional capacity can override geographic baseline expectations in either direction.

This is the framework's central theoretical claim, developed and tested across the six cases below: hedging differentiation emerges through elite leadership selection among structurally constrained strategic options, shaped by decades of ASEAN normative socialisation — not through geography, institutions, or leadership acting independently, but through their specific configurational combination.

Configurational Logic and Methodology

Three Outcome Types

Rather than treating hedging as continuous variation along a single spectrum, this framework classifies outcomes into three discrete types, each produced through a specific configuration of causal conditions rather than through any single variable acting alone.

Type I — Balanced Engagement, exemplified by Singapore, maintains approximate symmetry across economic, security, and diplomatic dimensions, sustaining simultaneous deep China trade reliance and U.S. security partnership without domain-specific asymmetric tilt.

Type II — Asymmetric Security Tilt, exemplified by Vietnam, accepts extensive China economic integration while intensifying U.S. defense cooperation, calibrating rather than balancing across domains.

Type III — Volatile Oscillation, exemplified by the Philippines, exhibits dramatic alignment reversals across presidential administrations, generated by weak institutionalisation combined with a presidential system that concentrates foreign-policy authority absent parliamentary or bureaucratic constraint.

› *Conceptual note — conjunctural causation and equifinality*: Two methodological terms recur throughout the case studies. Conjunctural causation means causal variables produce effects only in combination with specific enabling conditions, not independently — the framework's central conjunctural claim being that geographic proximity generates security vulnerability only where combined with an active territorial dispute (the Vietnam-Thailand contrast developed below). Equifinality means multiple distinct causal pathways can produce equivalent outcomes — balanced engagement is achievable through Singapore's pathway (maritime geography plus very high institutional capacity) or Indonesia's pathway (low threat intensity plus moderate institutional capacity plus constitutional non-alignment doctrine), meaning no single case can exhaust the explanation for its outcome type.

These outcome types are explained through necessary-condition and sufficiency testing rather than correlation alone. Maritime geography appears to be a necessary, though not sufficient, condition for balanced engagement: no mainland-contiguous state in the sample sustains balance, but Vietnam's comparably high institutional capacity, combined with mainland geography and acute threat, produces security tilt rather than balance — disconfirming institutional capacity as a standalone sufficient condition while confirming its necessary contributory role. Singapore's full configuration — maritime geography, very high institutional capacity, low acute threat, ASEAN embeddedness, and technocratic leadership — constitutes a sufficient condition only through this specific overdetermined combination, implying that balanced engagement at Singapore's level of sophistication is not achievable through partial configuration replication.

Leadership Typology and Institutional Mediation

A four-category leadership typology, developed as an empirical generalisation rather than an a priori category, helps explain how individual leaders translate structural pressure into observed hedging behaviour.

Technocratic pragmatists (Lee Hsien Loong, Joko Widodo) prioritise economic development and institutional stability through professional bureaucratic implementation, generating balanced engagement.

Nationalist populists (Rodrigo Duterte, Mahathir Mohamad's second tenure) emphasise symbolic sovereignty and anti-great-power rhetoric through personalist decision-making, producing volatile alignment.

Military authoritarians (Thailand's Prayuth Chan-ocha) maintain security-oriented threat assessment privileging U.S. defence cooperation while managing coup-installed regime survival imperatives, generating asymmetric security tilt absent economic reorientation.

Communist Party technocrats (Vietnam's collective leadership) balance ideological commitment with pragmatic engagement, producing calibrated asymmetry through collective constraints on individual discretion.

The typology's causal weight, however, is conditional on institutional capacity. Where capacity is high, leadership preferences translate into sustained strategic reorientation through institutionalised implementation; where capacity is weak, the same leadership variation produces volatile, easily reversed tactical adjustment. This is the framework's core cross-level interaction claim: leadership effects are largest in low-capacity configurations and smallest in high-capacity ones — a prediction tested directly in the Philippines' Aquino-Duterte-Marcos succession against Singapore's Lee-to-Wong transition below. This asymmetry is consistent with the observation that domestic politics — specifically, ruling elites' internal legitimation needs — function as the intervening variable filtering how perceived structural pressures and opportunities translate into a given state's specific hedging conduct.[30]

ASEAN's Institutional Role

ASEAN membership functions as a necessary, though insufficient, condition for hedging viability. Its non-interference norms reduce bilateral intervention risk; its consensus rules require great-power accommodation of small-state preferences; its flexible engagement doctrines legitimise simultaneous partnerships with competing powers that might otherwise appear as inconsistent alignment. These collective goods, however, prove differentially accessible depending on domestic institutional capacity for resource exploitation — isolated states lacking ASEAN's organisational buffer (Myanmar, post-coup) face acute bilateral coercion vulnerability, while membership alone cannot compensate for domestic institutional weakness preventing competent resource utilisation (Cambodia's limited hedging capacity despite membership, reflecting regime dependence on Chinese patronage).

This configurational methodology — combining outcome-centered typological classification, agent-centered strategic choice analysis, and institution-centered historical evolution — structures the six case studies that follow. Each case is read through the same architecture: first establishing the case's configurational combination of geography, threat intensity, institutional capacity, and leadership type; then specifying the causal mechanisms connecting that combination to the observed hedging outcome; and finally deriving the case's distinctive contribution to the cross-case comparative synthesis developed in Section IV.

Six Case Studies

Singapore: Balanced Engagement Through Institutionalised Ritual Management

Singapore's 2019–2025 posture exhibits the framework's most consistent and sophisticated balanced engagement, despite occupying a position that, on a narrow material reading, should generate greater vulnerability rather than greater stability: a small city-state with no territorial dispute with China, but with an economy structurally dependent on China as its largest trading partner and on the United States for security guarantees and high-value technology partnership.[31] This case's analytical value lies precisely in this apparent paradox — that small-state vulnerability, combined with very high institutional capacity, produces not volatility but exceptional consistency.

Lee Kuan Yew's founding engagement doctrine anticipated that China would eventually face a "fateful decision" between hegemonic and cooperative international trajectories, and built Singapore's strategic posture around preserving maximum flexibility until that decision became clear.[32] His successor Lee Hsien Loong operationalised this through what might be called ritual management: the deliberate, precisely calibrated presentation of differentiated symbolic performances to Beijing and Washington simultaneously, while maintaining the formal appearance of consistent neutrality. State visits to Beijing (2015, the 2017 Belt and Road Forum, the 2019 anniversary commemoration) were calibrated against Washington summits (the 2016 Obama meeting, 2017 transition engagement, 2021 Biden-era coordination), with joint-statement language differentiated by audience — "comprehensive partnership" with China through infrastructure cooperation, "strategic partnership" with the United States through defence-technology transfer — diffused through ASEAN institutional activism providing a neutral collective facade.[33]

This balance is not costless improvisation but the product of a specific configuration: maritime geography providing defensive depth against direct coercion; very high institutional capacity enabling sophisticated bureaucratic coordination across economic, security, and diplomatic domains simultaneously; small-state vulnerability generating existential incentive for diversification rather than complacency;[34] and a strong technocratic consensus — PAP institutional dominance integrating economic- and security-oriented factions rather than leaving them to compete — that minimises the factional contestation visible in cases like Malaysia or the Philippines. Lee Hsien Loong's own cognitive style — more technocratic and risk-assessment-oriented than Lee Kuan Yew's earlier civilisational framing — reinforced this pattern, privileging quantifiable economic and technology benefit streams over broader cultural affinity, even as growing Chinese power remained a long-term strategic concern. A 2004 episode is instructive: Lee's unofficial pre-premiership Taiwan visit drew vigorous Chinese condemnation, prompting a swift public statement supporting China against unilateral Taiwanese independence — not coercion overwhelming Singapore's agency, but calculated compliance, in which the symbolic cost of deference proved minimal against the economic risk of confrontation.[35] Singapore's overall maritime separation from the Chinese mainland reduces direct military vulnerability even as it preserves long-term concern about regional order transformation.[36] Notably, Singapore has itself publicly resisted characterisation as a U.S. treaty ally, clarifying that its enhanced military cooperation with Washington is a long-standing arrangement dating to 1990 rather than a reaction to any specific development — a clarification consistent with the broader ASEAN pattern of underscoring a "not taking sides" posture even while deepening security ties.[37]

Singapore's 5G procurement decisions — permitting both Ericsson and Huawei participation — exemplify balanced hedging extending into the technology domain, managing U.S. pressure for exclusion while preserving the China relationship. The 2024 transition from Lee Hsien Loong to Lawrence Wong constitutes a useful natural experiment: continuity in posture across this succession, despite generational change, is consistent with the institutional-capacity argument that high-capacity states generate strategic inertia resistant to leadership turnover, distinguishing Singapore's experience sharply from the Philippines' succession-driven reversals discussed below. Singapore's principal vulnerability going forward lies in whether ritual management remains sustainable as U.S.-China competition intensifies beyond what ceremonial accommodation can absorb — a risk requiring contingency planning for forced-choice scenarios that current policy largely defers.

Malaysia: Strategic Autonomy Through Leverage Cultivation and Exit Preservation

Malaysia's transformation from a relationship of mutual suspicion with China to cordial partnership, achieved across a compressed timeframe, illustrates systematic portfolio rebalancing across the temporal phases described above. Through the late 1980s, Malaysia regarded China as a primary threat, owing to Beijing's historical support for the Communist Party of Malaya, its earlier Overseas Chinese policy, and the Spratly Islands dispute, and accordingly held China at arm's length.[38] The Communist Party of Malaya's 1989 dissolution removed a longstanding political barrier; growing reliance on economic performance as a source of Barisan Nasional legitimacy created incentive for China-economic engagement; and Mahathir Mohamad's regional-hub aspirations required China's participation.[39] Malaysia's foreign-ministry consultation mechanism (April 1991) and China's first appearance as a guest at the ASEAN Ministerial Meeting that same July established the bilateral and multilateral binding infrastructure that followed.[40] This episode is directly corroborated by Mahathir Mohamad's own recollection that, as ASEAN's chair in the early 1990s, Malaysia's rationale for engaging and integrating China was the belief that demonstrating non-hostility toward Beijing carried much potential benefit for both bilateral and regional relations.[41]

By the mid-2000s, Malaysia added limited-bandwagoning edges as accelerating Chinese growth created partnership incentives, manifesting in deference on issues including the One China policy and active coordination on East Asian regional architecture — China was the only major power to support Mahathir's 1990 East Asia Economic Group proposal explicitly, when the United States opposed it and Japan was lukewarm.[42] A cumulative sequence of cooperative episodes followed: China's 1997 acceptance of the ASEAN Plus Three summit invitation, Beijing's support for the 2002 APT Secretariat proposal in Kuala Lumpur, and Chinese backing for the 2004 Malaysian East Asia Summit proposal.[43] Prime Minister Abdullah's 2004 description of Malaysia's China policy as "a triumph of good diplomacy and good sense" reflects how strategic-culture framing — invocations of Admiral Zheng He's benevolent fifteenth-century voyages were common — legitimised this bandwagoning domestically as civilisational partnership rather than strategic accommodation.[44] Malaysia's 1997–2005 collaboration with China to promote the institutionalisation of East Asian cooperation is a clear instance of the limited-bandwagoning component in practice, since it combined selective foreign-policy collaboration with continued engagement of rival powers rather than exclusive alignment.[45]

Crucially, this deepening was balanced rather than unconditional: Malaysia maintained Five-Power Defence Arrangements participation and renewed its Acquisition and Cross-Servicing Agreement with the United States in May 2005, preserving dominance-denial diversification alongside the China relationship.[46] Deputy Prime Minister Najib Razak's 2005 statement that accepting China's rise reflected neither fatalism nor subservience captures Malaysia's continued hierarchy-avoidance even amid bandwagoning.[47] This configuration — moderate mainland-maritime hybrid geography (northern land border, Malacca Strait chokepoint), moderate threat intensity (distant Spratly disputes lacking acute confrontation), high institutional capacity, and a historically dominant economic-oriented faction recently challenged by autonomy-nationalist factional empowerment — produces balanced hedging with an economic-pragmatism emphasis, sustained by institutional capacity capable of managing simultaneous, partially contradictory instruments.[48]

The framework's central theoretical contribution from Malaysia's case is that leverage cultivation (making Malaysian partnership valuable, raising the opportunity cost of exploitation) and exit-option preservation (making Malaysian coercion risky, raising the failure cost of exploitation) operate synergistically rather than contradictorily — not merely that Malaysia pursues simultaneous engagement and balancing, but that these instruments serve a single, coherent strategic-autonomy-preservation logic.[49] Malaysia's principal contemporary vulnerability lies in accelerating decoupling, particularly in technology infrastructure, where dual engagement is becoming structurally infeasible — and in the Taiwan contingency, which would force the same binary choice threatening every case examined here.

Indonesia: Hedging by Constitutional Constraint

Indonesia occupies a theoretically distinctive position: neither a maritime case enjoying Singapore's defensive depth, nor a mainland case facing Vietnam's acute proximity vulnerability, but an archipelagic hybrid in which geographic fragmentation across roughly seventeen thousand islands generates simultaneously dispersed threat exposure and dispersed economic connectivity. Indonesia's analytical value extends beyond its intrinsic importance as Southeast Asia's largest state toward its function as the framework's most demanding test of the claim that geography's hedging effects operate through specific mechanisms rather than category membership alone.

Bebas-aktif — "free and active," Indonesia's constitutional foreign-policy doctrine — establishes the foundational constraint within which all Indonesian hedging operates. Embedded in diplomatic-academy curricula, bureaucratic procedure, and political legitimation discourse since its 1948 Hatta-era formulation, the doctrine forecloses formal alliance commitments regardless of immediate strategic calculus, generating what might be called hedging-by-institutional-constraint rather than Singapore's hedging-by-strategic-choice — consistent with Indonesia's broader posture of maintaining a non-claimant, honest-broker, confidence-builder approach to regional disputes, pursued through multilateral mechanisms aimed at a "dynamic equilibrium" in which no single power dominates.[50] This produces a structural paradox: Indonesia's material capabilities as the region's largest economy might suggest greater flexibility, yet its institutional commitment produces a more constrained hedging configuration, since ideational commitment generates switching costs material advantage cannot easily overcome. Suharto's New Order regime demonstrated the doctrine's practical elasticity — maintaining non-alignment rhetoric while pursuing pragmatic Western economic and security cooperation — showing that the constraint binds formal alignment without foreclosing functional interdependence.

The Natuna Islands provide the clearest empirical window into this logic: a distant archipelagic outpost whose exclusive economic zone overlaps China's nine-dash-line claim, generating a dispute more characteristic of island sovereignty contestation than the continental-shelf disputes typical elsewhere in the region.[51] The three geographic mechanisms specified above apply in attenuated, selective form here: security vulnerability is moderate rather than acute, since Indonesia lacks land-border exposure but cannot independently defend dispersed island territories against focused Chinese naval power projection — a vulnerability Jakarta has sought to offset through unilateral military buildup around the Natunas, including fighter-aircraft procurement explicitly justified as Natuna defense, large-scale combined exercises, and an extensive network of bilateral defense partnerships built since the 1990s;[52] economic interdependence runs through maritime trade routes (LNG, palm oil, coal exports dependent on South China Sea freedom of navigation) rather than land-corridor lock-in; and strategic culture reflects colonial maritime experience and ASEAN-socialised preference for procedural legal resolution over unilateral balancing. This combination of ASEAN-channeled diplomacy alongside independent capability-building is consistent with Indonesia's broader strategy of pairing external institutional balancing with domestic internal balancing.[53]

Indonesia's institutional capacity is best understood as disaggregated rather than unitary: moderate democratic institutionalisation providing some bureaucratic continuity, offset by decentralisation-driven coordination fragmentation across the world's largest archipelagic administration. Domestic political economy complications — the ethnic Chinese business community's economic weight against periodic nationalist suspicion, alongside Indonesia's Muslim-majority domestic politics generating occasional Xinjiang-related solidarity tension with China — add a distinctively Indonesian binding-engagement constraint absent from the other five cases. The

Widodo-to-Prabowo leadership transition functions as a useful within-case test of institutional-capacity mediation, broadly consistent with continuity rather than reversal, given that bebas-aktif's constitutional status constrains successor discretion regardless of individual leader preference.

This configuration — archipelagic hybrid geography, low threat intensity (the Natuna dispute lacks the salience of South China Sea flashpoints elsewhere), moderate institutional capacity, and non-aligned-legitimation-dominant factional bargaining — produces what might be called relaxed balanced hedging: broad equidistance maintained through moderate rather than intensive engagement with both powers, since low threat reduces hedging urgency and constitutional non-alignment constrains intensive instrument deployment in either direction. Indonesia's case establishes an important equifinality finding: balanced engagement is achievable through Singapore's intensive optimisation pathway or through Indonesia's constitutional-constraint pathway, and the differing intensity between them carries analytically meaningful information rather than representing mere noise. Indonesia's principal contemporary vulnerability is its exposure to critical-mineral supply-chain dependence, a distinctively Indonesian stress point given its role as a major nickel and battery-material producer increasingly courted, and constrained, by competing Chinese and Western investment frameworks.

Vietnam: Asymmetric Security Tilt Through Multi-Framework Convergence

Vietnam's hedging pattern requires explanation through the interaction of multiple causal frameworks rather than any single mechanism, because no individual framework — historical institutionalism, two-level games, strategic culture, network analysis, or omnibalancing — adequately accounts for Vietnam's observed pattern in isolation. This multi-framework necessity is itself analytically significant: it demonstrates that the configurational synthesis's methodological pluralism reflects genuine causal complexity rather than theoretical indiscipline, providing the framework's most demanding internal validation test.

Historical institutionalism identifies critical junctures — including the 1979 China-Vietnam border war and subsequent normalisation in the 1990s — that established path-dependent strategic legacies of wariness toward China alongside pragmatic economic re-engagement.[54] Two-level game dynamics capture how Vietnamese negotiators manage simultaneous domestic Party-factional and international audiences, manipulating "win-sets" to sustain engagement with both powers without triggering veto from either domestic conservative factions or external partners. Strategic culture analysis generates the framework's most important cross-case contrast: Vietnam's sovereignty-sensitive, resistance-oriented operational code — forged through centuries of asymmetric relations with China — produces consistent asymmetric tilt under mainland-proximity pressure, in sharp contrast to Thailand's tributary-accommodation operational code under comparable mainland geography, demonstrating that geographic proximity operates through strategic-culture formation rather than generating uniform behavioural effects across mainland cases.[55] Network analysis situates Vietnam at a structurally advantageous brokerage position between competing institutional frameworks; omnibalancing, properly evidenced, captures Vietnam's need to manage both external threat and internal factional coalition stability simultaneously — a methodological standard this study judges considerably more demanding than the loosely evidenced "omnibalancing-instrumentalisation" argument occasionally applied to Singapore's case, which this study declines to adopt for that reason (see the case contribution discussion below).

The resulting calibrated asymmetry is observable in concrete indicators: China accounted for roughly 35 percent of Vietnam's total trade by 2025, alongside continued Belt and Road infrastructure integration, even as defense cooperation with the United States intensified — coast-guard capacity building, maritime domain awareness technology transfer, naval port access, and a defence-industrial partnership enabling diversification away from historical Russian procurement dependence. Vietnam's parallel Comprehensive Strategic Partnership upgrades with China (2008, reaffirmed during Xi Jinping's 2018 Hanoi visit invoking "socialist brotherhood") and the United States (2013, elevated to the highest partnership tier during Biden's 2023 visit)[56] exemplify the tributary-era deference-autonomy logic in contemporary diplomatic form: symbolic recognition extended to both powers while Vietnam retains substantive decision-making autonomy. Vietnam has itself been careful to frame this deepening security partnership with Washington as not directed against any third country, a public posture consistent with the broader ASEAN pattern of using such reassurances to preserve a "not taking sides" stance even while expanding indirect-balancing measures.[57]

This configuration — mainland geography, acute threat intensity from South China Sea disputes, Communist Party ideological constraints foreclosing formal alliance while permitting extensive security cooperation, moderate-to-high institutional capacity, and collective leadership producing incremental rather than volatile adjustment — generates Type II asymmetric security tilt as a stable, consistent pattern across leadership transitions (Nguyen Phu Trong's consolidation through successive prime ministerial rotations).[58] The necessary-condition test comparing Vietnam against the Philippines — both facing elevated threat — shows threat intensity alone is insufficient to explain outcome: threat combined with institutional capacity produces tilt, while threat combined with weak institutions produces volatility.

The Philippines: Institutional Weakness and Presidential Volatility

The Philippines occupies a deliberately disconfirming position in this study's case selection: a maritime state that should, on the framework's geographic baseline, exhibit defensive-depth advantages comparable to Singapore's, yet instead produces the most dramatic alignment reversals among the six cases. This divergence constitutes the framework's most direct empirical challenge to geographic determinism, and its resolution — institutional weakness and presidential-system authority concentration overriding geographic baseline expectations — provides correspondingly strong validation for the hybrid primary-moderating variable specification developed above.

The Philippines' institutional weakness disaggregates into bureaucratic coordination fragmentation, limited organisational memory across administrations, weak regulatory capacity, and insufficient oversight mechanisms — a profile that, combined with a presidential system concentrating foreign-policy authority in a single office largely insulated from coalition or bureaucratic constraint, allows individual leader preference to override structural continuity whenever incoming presidents bring sharply divergent threat assessments. The Aquino-Duterte-Marcos succession functions as a natural experiment holding structural conditions (maritime geography, South China Sea dispute, U.S. treaty alliance) approximately constant while leadership type varies dramatically: Benigno Aquino III pursued U.S.-oriented balancing, escalating through the 2013 arbitration filing against China's nine-dash-line claim;[59] Rodrigo Duterte reversed course sharply toward China engagement, deprioritising the 2016 arbitral ruling in his favor in pursuit of Belt and Road investment;[60] and Ferdinand Marcos Jr. restored, and arguably exceeded, pre-Duterte U.S. defence cooperation levels.[61] This reversal is consistent with the broader observation that the Philippines is, among ASEAN states, the clearest case in which a perceived threat and a vital external commitment became simultaneously certain enough to justify a shift from indirect- to direct-balancing, rather than continued hedging.[62]

The Enhanced Defense Cooperation Agreement (EDCA) provides a continuous measurement series across this succession: established under Aquino, functionally underutilised under Duterte despite remaining formally in force, then substantially expanded under Marcos Jr. with additional base-access sites.[63] The 2016 Arbitral Tribunal ruling itself illustrates path-dependent commitment accumulation: Duterte's choice to defer rather than press the ruling did not erase it, and Marcos Jr.'s above-baseline restoration of U.S. alignment built directly on the credibility costs accumulated during the intervening reversal — evidence that oscillation episodes leave lasting traces rather than simply reverting cleanly to prior configurations.

› *Conceptual note — UNCLOS Article 121*: The Article distinguishes islands (generating full maritime zones, including a 200-nm EEZ) from rocks incapable of sustaining human habitation (generating only a 12-nm territorial sea).[64] The 2016 Philippines v. China tribunal held that major Chinese-occupied Spratly features are rocks—a ruling Beijing rejects but which shapes overlapping EEZ claims. This determination conditions hedging's binding-engagement diplomatic dimension by establishing a normative baseline that claimant states invoke and non-claimant states reference when evaluating Chinese maritime behaviour. Its enforceability absent coercive backing remains the central empirical question the case studies address.

This configuration — maritime geography, high threat intensity (Scarborough Shoal, Second Thomas Shoal), low institutional capacity, low leadership stability, and a presidential system permitting volatile factional bargaining without stable equilibrium — generates Type III volatile oscillation. The comparison with Malaysia is instructive: comparably weak institutional capacity, but Malaysia's parliamentary system imposes coalition constraints that bound volatility in a way the Philippines' presidential concentration does not, establishing that institutional weakness requires presidential-system supplementation to produce dramatic reversal rather than the bounded fluctuation weak institutions generate elsewhere. The Philippines case thus provides the framework's most rigorous within-country causal identification: leadership-typology variation, not threat-environment variation, principally explains the Aquino-Duterte reversal, while threat-environment escalation supplements explanation of Marcos Jr.'s above-baseline restoration.

Thailand: Threat-Environment Primacy and Strategic-Culture Compensation

Thailand functions as the framework's boundary-condition case, testing the limits of geographic proximity's necessary-condition status for security tilt. Thailand — one of five U.S. treaty allies in East Asia, alongside Australia, Japan, the Philippines, and South Korea — shares mainland contiguity and meaningful economic interdependence with

China (notably through Mekong River cooperation), and its close diplomatic ties with Beijing are in fact the closest of any U.S. treaty ally in the region even as its formal alliance architecture with Washington remains intact.[65] Yet it exhibits neither Vietnam's security tilt nor the Philippines' volatility, instead producing a bounded, low-intensity fluctuation correlated with domestic coup cycles rather than with great-power pressure — a correlation consistent with the pattern by which post-coup Thai governments have found China notably more willing than the United States to normalise high-level contact despite formal Western democratic censure, reducing the diplomatic cost of domestic instability precisely where mainland-oriented hedging is concerned.[66] The reason is straightforward and theoretically important: Thailand has no active territorial dispute with China, and the absence of an acute, unresolved sovereignty conflict — rather than geography itself — is the decisive variable.[67] This is the cleanest available evidence for this study's central conjunctural claim: mainland geography generates security tilt only in combination with active territorial disputes, not as a standalone geographic effect.

› *Conceptual note — "bamboo bending"*: Thai diplomatic culture is frequently characterised through the metaphor of the bamboo that bends with the wind rather than breaking — a strategic culture of flexible accommodation to whichever power currently holds regional ascendancy, observable historically in Thailand's relationship with both Western colonial powers and China, and traceable to a tributary-accommodation operational code distinct from Vietnam's resistance-oriented code despite comparable mainland geography.

Thailand's low institutional capacity — reflecting persistent civilian-military institutional fragmentation, recurrent coup cycles, and corruption constraining bureaucratic effectiveness — would, under the framework's general expectation, predict volatile rather than stable hedging. That it does not is explained by a genuine theoretical contribution this case provides: strategic-culture compensation, in which the deeply embedded bamboo-bending operational code substitutes for institutional capacity as a stabilising mechanism, generating policy continuity through cultural rather than bureaucratic channels. Coup cycles affect installation and consolidation phases differently — new military governments typically reaffirm rather than reverse existing hedging postures, since the accommodation doctrine itself, rather than any particular leader's preference, supplies continuity. Mekong cooperation, including Thai participation in the China-led Lancang-Mekong framework alongside ASEAN-based mechanisms, provides the clearest empirical manifestation of how economic-interdependence pathways differentiate even among mainland states sharing comparable geography, reflected in Thailand's deepening economic reliance on adjacent mainland states for energy, labor, and connectivity independent of its formal alliance commitments.[68]

This configuration — mainland geography, low threat intensity, moderate-to-low institutional capacity, low leadership stability through coup cycles, and strategic-culture compensation in place of bureaucratic stability — generates a distinctive, theoretically valuable equifinality finding: hedging stability is achievable not only through Singapore's high-bureaucratic-capacity pathway or Vietnam's institutionalised-collective-leadership pathway, but also through constitutional constraint (Indonesia) or strategic-culture compensation (Thailand) — four genuinely distinct pathways converging on bounded, sustainable hedging, each carrying different policy implications for capacity-building interventions.

Configurational Synthesis

A Truth Table of Six Pathways

The six cases, read together, yield a truth table of configurational pathways rather than a single linear causal chain. Singapore (maritime geography, very high institutional capacity, low threat, technocratic leadership) and Vietnam (mainland geography, acute threat, moderate-to-high institutional capacity, collective leadership) anchor the two ends of the stable-hedging spectrum, with Malaysia (hybrid geography, moderate threat, high institutional capacity, moderate leadership stability) occupying a balanced intermediate position. Indonesia (archipelagic hybrid geography, low threat, moderate institutional capacity, constitutional non-alignment doctrine) and Thailand (mainland geography, low threat, low institutional capacity, strategic-culture compensation) demonstrate that stable hedging is achievable through institutional substitutes for high bureaucratic capacity — constitutional constraint in one case, cultural accommodation doctrine in the other. The Philippines (maritime geography, acute threat, low institutional capacity, presidential system) stands alone as the volatility case, its outcome explained not by any single variable but by the specific conjunction of weak institutions and a presidential system that, together, permit leadership-typology variation to override structural continuity.

This pattern yields a necessary-condition finding regarding territorial disputes: mainland geography generates security tilt only where combined with an active, unresolved territorial dispute (Vietnam) and not otherwise (Thailand) — the single most important conjunctural finding this comparison produces, since it directly disconfirms a purely geographic-determinist reading of mainland-maritime classification. It also yields an institutional-capacity equifinality finding: hedging stability is achievable through at least four distinct pathways — high bureaucratic capacity (Singapore, Vietnam), constitutional constraint (Indonesia), and strategic-culture compensation (Thailand) — each carrying distinct, non-interchangeable policy implications. And it yields a leadership-residual finding: leadership-typology variation generates substantially larger hedging adjustments in low-institutional-capacity configurations (the Philippines) than in high-capacity ones (Singapore), consistent with the cross-level interaction claim developed in Section II.

The truth table also reveals a limited-diversity problem characteristic of small-N qualitative comparative analysis: several logically possible configurations — for instance, mainland geography combined with both acute threat and very high institutional capacity but personalist rather than collective leadership — simply do not occur within the available case universe, restricting how far these findings generalise beyond the observed configurations without additional validation cases.

Temporal Dynamics: Critical Junctures, 2019–2025

Several systemic shocks within the analytical period tested hedging resilience directly. The 2020 COVID-19 pandemic's early phase temporarily elevated economic-security considerations over geopolitical balancing, allowing China to generate short-term goodwill through vaccine diplomacy toward the Philippines, Indonesia, and Thailand — goodwill that did not produce sustained alignment shift once Western vaccine alternatives became available. The 2022 Russian invasion of Ukraine generated indirect spillover by demonstrating great-power willingness to use force for territorial revision, intensifying regional Taiwan-contingency anxiety and accelerating security-hedging adjustment, including the Philippines' EDCA expansion, Singapore's defence-cooperation deepening, and Vietnam's U.S.-partnership upgrade. The 2023–2024 period of partial U.S.-China stabilisation through renewed Biden-Xi summit diplomacy reduced immediate confrontation risk without reversing underlying competitive dynamics, generating divergent interpretation across cases — risk-acceptant leadership read it as opportunity for renewed U.S. alignment, risk-averse leadership maintained cautious equidistance.

These shocks reveal differential institutional resilience consistent with this study's central claim. Singapore maintained hedging consistency through every shock, suggesting high institutional capacity generates genuine strategic inertia. Vietnam demonstrated calibrated rather than volatile adjustment, incrementally intensifying U.S. cooperation in response to specific South China Sea incidents while maintaining its overall framework. The Philippines exhibited reversal tracking leadership succession more than environmental shock — the Duterte-to-Marcos transition produced sharper discontinuity than either the pandemic or the Ukraine war. Malaysia, Thailand, and Indonesia showed modest fluctuation around stable baselines, confirming that moderate institutional capacity combined with alternative domestic constraint mechanisms can generate stability through heterogeneous pathways beyond high bureaucratic professionalisation alone.

Theoretical Contributions

This synthesis advances hedging scholarship through five contributions.

First, it reconceptualises hedging as discrete, equifinal outcome types rather than continuous variation, enabling testable necessary-sufficient condition claims rather than mechanism description alone.

Second, it integrates structural, institutional, and agent-centered explanation into a single cross-level architecture rather than treating them as competing accounts, explaining puzzles a single-level account cannot — why identically positioned states diverge (the Philippines versus Vietnam), why leadership transitions matter more in some cases than others (the Philippines versus Singapore), and why institutional capacity proves necessary yet insufficient on its own (Vietnam's calibration versus Singapore's balance, despite broadly comparable bureaucratic quality).

Third, it repositions geographic proximity as a primary variable at the structural level whose effects are mediated through three specific mechanisms — security vulnerability, economic-interdependence pathway, and strategic-culture formation — rather than a deterministic category.

Fourth, it demonstrates ASEAN's necessary-but-insufficient institutional role in enabling member hedging capacity.

Fifth, it situates contemporary hedging within a transhistorical pattern of asymmetric-relationship management, in which deference-autonomy exchange logic persists across regime-type transformation rather than constituting a novel phenomenon unique to the present U.S.-China competition.

Policy Implications

For ASEAN as an institution, the analysis recommends strengthening normative socialisation mechanisms transmitting diplomatic repertoires to newer members, deepening collective economic-integration architecture to reduce exclusive bilateral dependency, and developing explicit preference-divergence management mechanisms — potentially including standing crisis-consultation channels and limited functional-domain majority voting — that preserve organisational cohesion without requiring consensus on every issue.

For individual states, recommendations follow each case's specific configuration rather than a uniform prescription. Singapore should maintain bureaucratic professionalisation while developing contingency plans for scenarios where ritual management becomes unsustainable. Vietnam should sustain incremental security-cooperation deepening while developing clearer red lines communicating resolve limits to both partners. The Philippines requires civil-service professionalisation and institutional strengthening capable of outlasting any single administration, since the current restoration of U.S. alignment depends on bureaucratic consistency rather than presidential commitment alone. Malaysia, Thailand, and Indonesia should pursue selective institutional investment in their highest-return domains — maritime security for Malaysia and Indonesia, Mekong connectivity for Thailand — rather than attempting comprehensive capacity replication of Singapore's model.

For external powers, the analysis suggests that pressure toward exclusive alignment proves counterproductive, since asymmetric relationships historically generate resistance rather than acquiescence when existential stakes are perceived. China would benefit from recognising that infrastructure investment alone cannot generate political alignment absent attention to debt sustainability and governance concerns; the United States would benefit from menu-based partnership flexibility over comprehensive alignment packages, and from strengthening ASEAN's collective institutional framework rather than pursuing bilateral arrangements that inadvertently weaken collective hedging capacity.

Scenario-Based Sustainability Forecasting

Three stress scenarios test hedging's forward viability. A *Taiwan contingency* — cross-strait conflict forcing alignment choice — poses the most acute threat: maritime states might sustain rhetorical neutrality while avoiding material commitment, mainland states face existential pressure over logistics access or corridor rights, and weak-institutional-capacity states prove most vulnerable to leadership-driven volatility absent bureaucratic anchoring. Historical Korean War-era precedent of ASEAN-predecessor neutrality offers only partial guidance given contemporary interdependence levels, suggesting a Taiwan scenario would more likely produce hedging fragmentation than coordinated collective ASEAN response.

Economic decoupling acceleration — comprehensive U.S.-China technological and trade separation — poses comparably severe risk by directly foreclosing the economic-pragmatism dimension's dual-engagement logic. States with diversified export markets and limited Belt and Road dependency (Singapore, Malaysia) appear better positioned than states with concentrated China exposure and deep infrastructure commitment. Read against the historical pattern of cyclical integration and fragmentation — nineteenth-century exclusive economic spheres giving way to twentieth-century globalisation, now potentially reversing — the 2019–2025 period analysed here may represent something closer to hedging's viability apex than a stable long-run equilibrium.

Domestic instability — leadership transition, democratic backsliding, internal conflict — proves comparatively more manageable, since its destabilising effect depends heavily on institutional capacity: states with autonomous bureaucratic continuity absorb leadership shock far better than states without it, making institutional capacity-building the most directly actionable sustainability investment available to individual states. Taken together, these three scenarios suggest that external systemic shifts, rather than internal member-state development alone, constitute hedging's primary forward threat — implying that regional institutional strengthening and great-power accommodation matter at least as much as individual state capacity-building, even though both merit sustained investment.

Conclusion

This study has argued that ASEAN hedging is best understood not as a single behavioural category exhibiting continuous variation but as a set of discrete, configurationally produced outcome types — balanced engagement, asymmetric security tilt, and volatile oscillation — generated through specific combinations of geographic proximity, threat intensity, institutional capacity, and leadership characteristics, operating within the permissive but insufficient framework ASEAN's institutional development has provided since 1967. The six cases examined here, read together, disconfirm a purely geographic-determinist account of hedging while simultaneously establishing that geography is not irrelevant: it sets baseline strategic opportunity structures whose translation into observed behaviour depends on institutional and leadership variables this study has specified mechanistically rather than asserted by correlation.

Three findings carry particular weight. *First*, territorial disputes, not mainland geography alone, generate the acute security pressure associated with asymmetric tilt — the Vietnam-Thailand contrast is this study's clearest evidence. *Second*, institutional capacity matters, but not through a single channel: bureaucratic professionalisation (Singapore, Vietnam), constitutional constraint (Indonesia), and strategic-culture compensation (Thailand) constitute genuinely distinct, non-interchangeable pathways to hedging stability, an equifinality finding with direct implications for which capacity-building interventions are likely to succeed in which contexts. *Third*, leadership matters most precisely where institutions matter least — the Philippines' volatility and Singapore's consistency are, in this sense, mirror-image confirmations of the same underlying interaction effect.

The period analysed here, 2019–2025, was framed throughout as a defined historical interval rather than an open-ended present, and the patterns identified — five-component portfolio construction, configurational outcome differentiation, geography as moderating rather than determining variable — are offered as conclusions about that interval specifically. Whether and how these patterns bear on the post-2025 period in which the reader now encounters this study is a distinct question, addressed separately below.

NOTES

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3. Cheng-Chwee Kuik, "How Do Weaker States Hedge? Unpacking ASEAN states' alignment behavior towards China," *Journal of Contemporary China* 25, no. 100 (2016): 7.

4. Kuik, "The Essence of Hedging: Malaysia and Singapore's Response to a Rising China," 164.

5. Cheng-Chwee Kuik, "Making Sense of Malaysia's China Policy: Asymmetry, Proximity, and Elite's Domestic Authority," *The Chinese Journal of International Politics* 6, no. 4 (2013): 440–442; Kuik, "The Essence of Hedging: Malaysia and Singapore's Response to a Rising China," 165.

6. Kuik, "The Essence of Hedging: Malaysia and Singapore's Response to a Rising China," 165.

7. Kuik, "Making Sense of Malaysia's China Policy: Asymmetry, Proximity, and Elite's Domestic Authority," 430, 442; Kuik, "The Essence of Hedging: Malaysia and Singapore's Response to a Rising China," 166–168.

8. Kuik, "How Do Weaker States Hedge? Unpacking ASEAN states' alignment behavior towards China," 7.

9. Kuik, 9.

10. Kuik, "Making Sense of Malaysia's China Policy: Asymmetry, Proximity, and Elite's Domestic Authority," 449; Kuik, "The Essence of Hedging: Malaysia and Singapore's Response to a Rising China," 167–168, 172–173.

11. Kuik, "How Do Weaker States Hedge? Unpacking ASEAN states' alignment behavior towards China," 9.

12. Kuik, 12.

13. Kuik, "How Do Weaker States Hedge? Unpacking ASEAN states' alignment behavior towards China," 3, 5–6; Cheng-Chwee Kuik, "Malaysia Between the United States and China: What

do Weaker States Hedge Against?," *Asian Politics & Policy* 8, no. 1 (2016): 173.

14. Kuik, "The Essence of Hedging: Malaysia and Singapore's Response to a Rising China," 167.

15. Kuik, 167–168.

16. Kuik, "How Do Weaker States Hedge? Unpacking ASEAN states' alignment behavior towards China," 9.

17. Kuik, 6.

18. Kuik, "Making Sense of Malaysia's China Policy: Asymmetry, Proximity, and Elite's Domestic Authority," 433–434, 464; Kuik, "The Essence of Hedging: Malaysia and Singapore's Response to a Rising China," 168–169.

19. Kuik, "The Essence of Hedging: Malaysia and Singapore's Response to a Rising China," 169–170.

20. Evelyn Goh, "Meeting the China Challenge: The U.S. in Southeast Asian Regional Security Strategies," *Policy Studies* 16, no. 4 (2005): 31.

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23. Goh, "Meeting the China Challenge: The U.S. in Southeast Asian Regional Security Strategies," 25.

24. Kuik, "How Do Weaker States Hedge? Unpacking ASEAN states' alignment behavior towards China," 13.

25. Kuik, "The Essence of Hedging: Malaysia and Singapore's Response to a Rising China," 171.

26. Kuik, "How Do Weaker States Hedge? Unpacking ASEAN states' alignment behavior towards China," 6.

27. Brantly Womack, "Asymmetry and China's Tributary System," *The Chinese Journal of International Politics* 5, no. 1 (2012): 38–39.

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32. Khong, 118.

33. Khong, 121–122.

34. Khong, 112–113, 123.

35. Goh, "Meeting the China Challenge: The U.S. in Southeast Asian Regional Security Strategies," 13.

36. Goh, 13.

37. Kuik, "How Do Weaker States Hedge? Unpacking ASEAN states' alignment behavior towards China," 13.

38. Kuik, "Making Sense of Malaysia's China Policy: Asymmetry, Proximity, and Elite's Domestic Authority," 430–431, 439–440.

39. Kuik, 446–448.

40. Kuik, 449.

41. Kuik, "How Do Weaker States Hedge? Unpacking ASEAN states' alignment behavior towards China," 9.

42. Kuik, "Making Sense of Malaysia's China Policy: Asymmetry, Proximity, and Elite's Domestic Authority," 448.

43. Kuik, 454–455.

44. Kuik, 459.

45. Kuik, "How Do Weaker States Hedge? Unpacking ASEAN states' alignment behavior towards China," 11.

46. Kuik, "Making Sense of Malaysia's China Policy: Asymmetry, Proximity, and Elite's Domestic Authority," 465.

47. Kuik, 463–464.

48. Kuik, "Malaysia Between the United States and China: What do Weaker States Hedge Against?," 168–169.

49. Kuik, 161–162.

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52. Laksmana, "Drifting towards Dynamic Equilibrium: Indonesia's South China Sea Policy under Yudhoyono," 165–167.

53. Laksmana, 154.

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56. Thayer, "Vietnam's Foreign Policy in an Era of Rising Sino-US Competition and Increasing Domestic Political Influence," 5.

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59. Aileen Baviera, "President Duterte's Foreign Policy Challenges," *Contemporary Southeast Asia: A Journal of International and Strategic Affairs* 38, no. 2 (2016): 202.

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61. Ciorciari, "The Variable Effectiveness of Hedging Strategies," 19, 23.

62. Kuik, "How Do Weaker States Hedge? Unpacking ASEAN states' alignment behavior towards China," 13–14.

63. Ciorciari, "The Variable Effectiveness of Hedging Strategies," 21, 23; Baviera, "President Duterte's Foreign Policy Challenges," 203; Republic of the Philippines and United States of America, Enhanced Defense Cooperation Agreement between the Philippines and the United States, 2014, Official Gazette of the Republic of the Philippines, at 1-10.

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From Historical Pattern to Present Dilemma

The configurational logic developed above was deliberately bounded to a defined historical interval, but its core claims travel forward in ways worth making explicit. Three of this study's findings bear directly on the present strategic environment.

First, the territorial-dispute conditional finding — that mainland geography generates security tilt only where combined with an active dispute — implies that today's most dangerous flashpoints are not simply "where China and its neighbours share a border," but specifically where unresolved sovereignty claims remain live. This suggests that diplomatic effort aimed at narrowing or freesing — rather than necessarily resolving — outstanding disputes carries disproportionate stabilising value relative to broader confidence-building measures, since it is the dispute's activity, not the proximity itself, that drives tilt.

Second, the equifinality finding regarding institutional pathways to hedging stability has an immediate practical corollary: capacity-building assistance offered to lower-capacity ASEAN states should be tailored to which pathway is locally available rather than assuming a single Singapore-style bureaucratic-professionalisation template. Indonesia's constitutional-constraint pathway and Thailand's strategic-culture pathway suggest that external partners — multilateral development banks, bilateral capacity-building programs — may achieve more durable results by reinforcing existing institutional logics than by attempting wholesale bureaucratic transplantation.

Third, and most urgently, this study's scenario forecasting identified the Taiwan contingency and accelerating economic decoupling as the two developments most likely to collapse hedging viability outright. Subsequent developments in export-control regimes, semiconductor supply-chain realignment, and recurring Taiwan Strait military exercises suggest these pressures have continued to intensify rather than stabilise since the analytical period's close. If this trajectory continues, the relevant question for current ASEAN policymakers may no longer be how to sustain hedging indefinitely, but how to sequence an eventual, partial recalibration — toward greater domain-specific commitment in the highest-stakes sectors (semiconductors, critical minerals, advanced telecommunications) while preserving genuine diversification in lower-stakes domains — before a crisis forces that recalibration on terms not of the hedging state's own choosing.

The framework developed in this study, in other words, may be most useful going forward not as a description of a stable equilibrium but as a diagnostic for identifying which configurational pathway each state is best positioned to retreat toward when full hedging eventually becomes unsustainable — a question this study's historical frame was not designed to answer directly, but toward which its findings point.

Clarifications and Definitional Precision

- *Hedging* designates a foreign-policy strategy in which a state pursues simultaneous engagement with competing great powers to avoid exclusive dependence on either, while preserving future alignment options. It is distinct from balancing (concentrated alignment against a specific threat), bandwagoning (alignment with an ascendant power for anticipated gain), and non-alignment in the Cold War sense (which typically implied formal abstention from bloc politics rather than active dual engagement).
- *Network redundancy* (from resilience engineering) and *portfolio optimisation* (from financial theory) are the two structural logics underlying this study's "network-portfolio" framework. Redundancy concerns preventing catastrophic isolation through multiple relational pathways; optimisation concerns balancing expected return against variance (risk) across those pathways. The framework's claim is that hedging requires both simultaneously — redundancy without optimisation risks resource-inefficient relationship maintenance, while optimisation without redundancy risks catastrophic single-node dependence.
- *Conjunctural causation and equifinality*, drawn from qualitative comparative analysis methodology, are the two logical principles underlying this study's case comparisons. Conjunctural causation holds that variables matter only in specific combination, not independently — meaning a claim like "mainland geography causes security tilt" is, on its own, too strong; the accurate claim is "mainland geography combined with an active territorial dispute causes security tilt." Equifinality holds that different combinations of variables can produce the same outcome, meaning that finding one causal pathway to an outcome (Singapore's route to balanced engagement) does not preclude other valid pathways to the same outcome existing elsewhere (Indonesia's route).
- *The tributary system* is invoked in this study purely as a structural analogy, not as a claim about cultural continuity or civilisational essence. The argument is narrower and more defensible than it might initially appear: any sufficiently asymmetric relationship in which the weaker party cannot exit the relationship entirely will tend to generate similar deference-autonomy management strategies, regardless of the specific historical or cultural context, because the underlying structural problem — preserving autonomy

without provoking disproportionate response from a stronger party — recurs across very different eras and regime types.

- *Necessary versus sufficient conditions*, as used throughout the case comparisons, follow standard usage: a necessary condition must be present for an outcome to occur (but its presence alone does not guarantee the outcome); a sufficient condition guarantees the outcome when present (though the outcome might also occur through other sufficient conditions, per equifinality above). Most of this study's strongest claims are necessary-condition claims (e.g., maritime geography appears necessary, though not sufficient, for balanced engagement) rather than sufficiency claims, which this study generally treats with greater caution given the small number of cases available.

- *Leadership typology* (technocratic pragmatist, nationalist populist, military authoritarian, Communist Party technocrat) is offered as an empirical generalisation derived from observed correlations in the six cases, not as an a priori or universally applicable personality taxonomy. Real leaders frequently combine elements of more than one type — Mahathir Mohamad is the clearest example within this study's cases — and the typology's value lies in identifying the mechanisms connecting leader background to policy preference (business-constituency pressure, anti-imperial rhetorical requirements, coup-regime survival imperatives, Party collective-discipline norms) rather than in rigid classification for its own sake.

Acronyms and Abbreviations

- *ASEAN* › Association of Southeast Asian Nations.
- *U.S.* › United States.
- *EDCA* › Enhanced Defense Cooperation Agreement.
- *UNCLOS* › United Nations Convention on the Law of the Sea.
- *APT* › Asia-Pacific Telecommunity.
- *EEZ* › Exclusive Economic Zone.